

8-1a Accounts Receivable

The most common transaction creating a receivable is selling merchandise or services on account (on credit). The receivable is recorded as a debit to Accounts Receivable. Such **accounts receivable** are normally collected within a short period, such as 30 or 60 days. They are classified on the balance sheet as a current asset.

Link to Under Armour

In a recent annual report, **Under Armour** reported accounts receivable of \$708.7 million, with the majority due from large retailers such as **Dick's Sporting Goods, Inc. (DKS)**.